📊 Customer Behavior Analysis Report

Prepared for: Client Business Review
Dataset Size: 3,900 Customers
Average Purchase Amount: $59.76
Average Review Rating: 3.75 / 5

1️⃣ Executive Summary

This report analyzes customer purchasing behavior, revenue contribution, subscription impact, product performance, and customer segmentation.

🔎 Key Highlights:

- **Clothing** is the highest revenue-generating category.
- **Young Adults** generate the most revenue.
- **Non-subscribers** generate higher total revenue than subscribers.
- **Express shipping customers spend slightly more on average.**
- Majority of customers are **Loyal buyers**.
- Discount usage is highest in **Hat and Sneakers** products.

2️⃣ Revenue by Gender

SQL Analysis grouped total revenue by gender.

📌 Insight:

Revenue contribution between **Male and Female customers is balanced**, with no extreme gap observed.

Business Impact:
Marketing campaigns can remain gender-neutral while focusing on product preference trends instead.

3️⃣ Customers Using Discount but Spending Above Average

Customers who:

- Used a discount
- Spent more than overall average ($59.76)

📌 **Identified Customer IDs:**

2, 3, 4, 7, 9, 12, 13, 16

🎯 **Insight:**

Discounts are effectively encouraging **higher-than-average purchases**.

Recommendation:
Continue targeted discount campaigns for high-value customers.

4️⃣ **Top 5 Products by Highest Average Rating**

(Ordered by highest average review rating)

These products maintain strong customer satisfaction levels.

🎯 **Insight:**

Highly rated products should be:

- Promoted more aggressively
- Bundled with slow-moving products

5️⃣ **Shipping Type Comparison**

Shipping Type	Avg Purchase
Express	$60.48
Standard	$58.46

📌 **Insight:**

Customers choosing **Express Shipping spend slightly more**.

Recommendation:

- Offer incentives for Express upgrades.
- Bundle express shipping with premium products.

6️⃣ **Subscription vs Non-Subscription Performance**

Subscription	Customers	Avg Spent	Total Revenue
Yes	1,053	$59.49	$62,645
No	2,847	$59.87	$170,436

🔎 **Key Observations:**

- Non-subscribers generate **almost 3× more total revenue**.
- Average spending difference is minimal.

🚀 **Recommendation:**

- Subscription benefits may not be strong enough.
- Introduce exclusive subscriber-only discounts or loyalty perks.

7️⃣ Discount Usage – Top 5 Products

Product	% Purchases with Discount
Hat	50.00%
Sneakers	49.66%
Coat	49.07%
Sweater	48.17%
Pants	47.37%

📌 **Insight:**

Almost 50% of purchases in these products depend on discounts.

Business Action:
Review pricing strategy — customers may be price sensitive in these categories.

8️⃣ Customer Segmentation (Based on Previous Purchases)

Segment	Customers
Loyal	3,116
Returning	701

Segment	Customers
New	83

🔥 **Major Insight:**

- 80%+ customers are **Loyal buyers**
- Very low number of new customers

🚀 **Strategic Recommendation:**

- Focus on **customer acquisition campaigns**
- Maintain loyalty reward programs to retain loyal base

9️⃣ Repeat Buyers & Subscription Behavior

Customers with more than 5 previous purchases:

Subscription	Repeat Buyers
No	2,518
Yes	958

📌 **Insight:**

Repeat buyers are mostly **non-subscribers**.

Opportunity:
Create exclusive loyalty subscription model targeting repeat buyers.

🔟 Revenue Contribution by Age Group

Age Group	Revenue
Young Adult	$62,143
Middle Aged	$59,197
Adult	$55,978
Senior	$55,763

📊 **Insight:**

Young Adults generate the highest revenue.

Marketing Strategy:

- Target Young Adults with social media campaigns.
- Launch trendy clothing promotions.

📈 Category Performance Overview

🥇 Revenue Leaders:

1. Clothing
2. Accessories
3. Footwear
4. Outerwear

🛍️ Most Purchased Products Within Categories:

- Accessories: Jewelry, Sunglasses, Belt
- Clothing: Blouse, Pants, Shirt

🎯 Strategic Recommendations

1️⃣ Increase Subscriber Value

- Add exclusive perks
- Special pricing tiers
- Early access to sales

2️⃣ Target High Revenue Segment

- Focus on Young Adults
- Promote Clothing category

3️⃣ Optimize Discount Strategy

- Reduce dependency on discounts for Hats & Sneakers
- Offer personalized discounts instead of blanket promotions

4️⃣ Boost Customer Acquisition

- Referral programs
- First-purchase incentives

5️⃣ **Promote Express Shipping**

- Offer bundle discounts
- Loyalty express shipping upgrades

📌 **Final Conclusion**

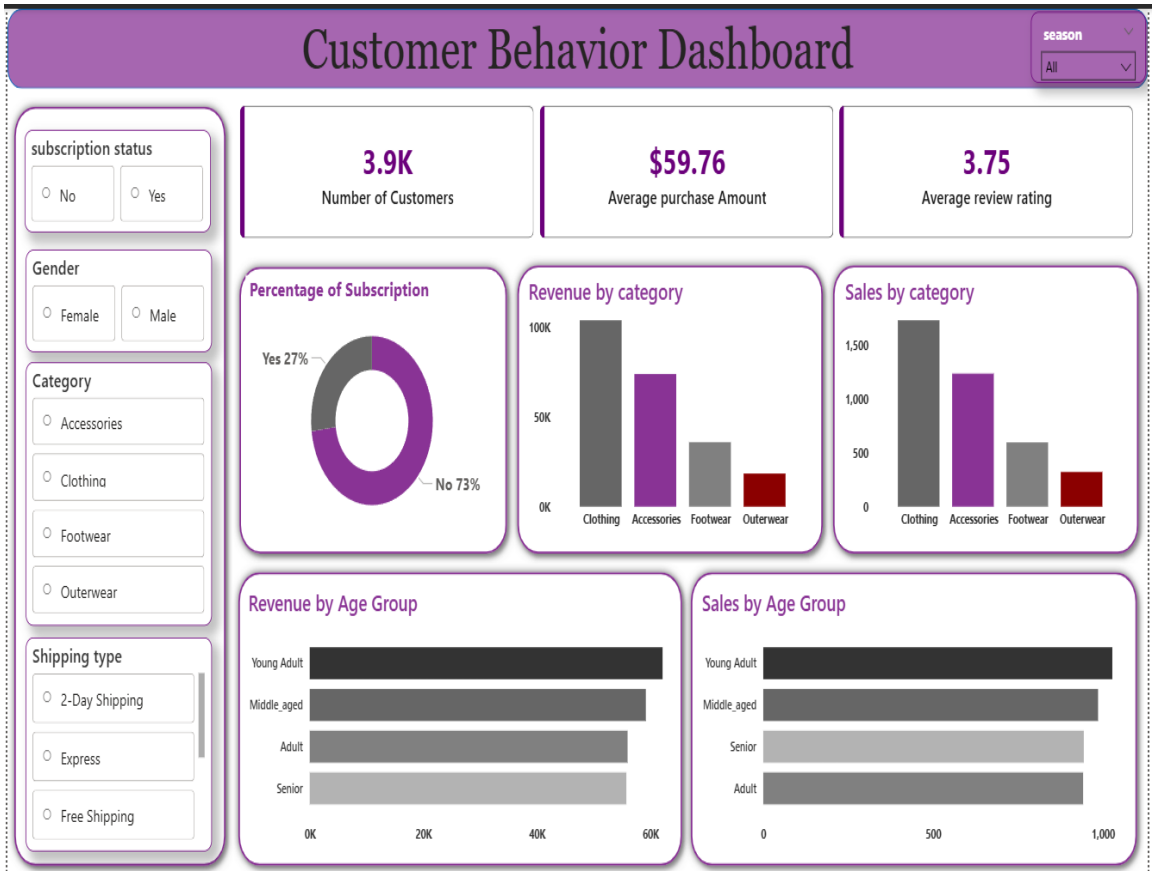
The business shows:
✓ Strong loyal customer base
✓ High-performing clothing category
✓ Stable average purchase value
✓ Effective discount-driven purchases

However:
⚠ Subscription model needs strengthening
⚠ New customer acquisition is low
⚠ Heavy reliance on discounts in specific categories

🚀 **Overall Business Health: GOOD with Growth Opportunities**

If optimized strategically, revenue can increase by improving:

- Subscription engagement
- Young Adult targeting
- Discount personalization
- New customer acquisition campaigns


Customer Behavior Dashboard
season
All
subscription status
No
Yes
Gender
Female
Male
Category
Accessories
Clothing
Footwear
Outerwear
Shipping type
2-Day Shipping
Express
Free Shipping
3.9K
Number of Customers
$59.76
Average purchase Amount
3.75
Average review rating
Percentage of Subscription
Yes 27%
No 73%
Revenue by category
100K
50K
0K
Clothing
Accessories
Footwear
Outerwear
Sales by category
1,500
1,000
500
0
Clothing
Accessories
Footwear
Outerwear
Revenue by Age Group
Young Adult
Middle_aged
Adult
Senior
0K
20K
40K
60K
Sales by Age Group
Young Adult
Middle_aged
Senior
Adult
0
500
1,000